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Marketing Report

Sprouting Readers

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Executive Summary

Sprouting Readers is a tutoring organization founded by Taryn La Raja with a company mission of improving the reading skills of children across the country. In early 2024, Taryn approached UMass AdLab for assistance in establishing a strong competitive advantage within the tutoring space. This request included establishing penetrable target markets, as well as methods to reach said target markets. AdLab was also tasked with comparing the landscapes of online and in-person tutoring.

UMass AdLab conducted 12 qualitative interviews to gain some qualitative perspective from parents who have children in the age range Sprouting Readers is attempting to target. From these interviews, we moved forward to create customer personas that fit Taryn's goals, as well as reflecting our research.

The customer personas provided our team with useful information on how to reach different potential clients. Specifically based on location and price point, different elements of the marketing of Sprouting Readers are more important than others. For example, around the Amherst area there are important local reach components while online product differentiation and highlighting tutoring experience can justify a higher price point. Our team then took this data and compared it to competitors in both spaces, online and in person.

After concluding our research, AdLab used our interviews, customer personas, and competitor analysis to provide Sprouting Readers with recommendations on further pursuing the development of the company's goals. These recommendations include the utilization of organic marketing, sample marketing materials, and product differentiation to highlight the unique aspects of the Sprouting Readers

service. We expand on these suggestions within the **recommendations** section of this report.

Objectives

Our objectives were to identify:

- Potential growth opportunities include:
    - Target markets within the surrounding Amherst area and online.
    - Marketing communication tactics that effectively reach that target market.
        - Including communication outlets.
- Needs of potential clientele include:
    - Financial preferences.
    - Specific age groups.
- Differences in preferences between in-person and online markets.

These objectives were pursued with the following methodology:

Methodology

Interviews

AdLab conducted twelve in-depth interviews to gain insight into a target market we identified as most realistic given Sprouting Reader's suite of services. We talked with a similar demographic to prospective clients, i.e. largely 35-50 year-old parents of school-age children. We discussed the ideal price point, tutoring medium, preferred marketing materials, and motivations for enrollment in services. Attached to the bottom of this report are the raw interview data collected by members of

AdLab should there be any further information you are looking for beyond our results. These interviews were conducted as the first method towards completing our objectives as they provided us with useful data for further research into both potential target markets and competition.

Target Market Analysis

Following the interviews being conducted, AdLab took the data gathered and compiled what we found to be important characteristics for penetrable target markets based on the responses. Important characterizing figures included looking at the age range of parents/students targeted, ideal pricing for tutoring sessions, and where most respondents preferred to be connected when looking for a potential tutor. These target market results then fed directly into our recommendations, including marketing communication strategies and sample materials.

Competitive Analysis

To ensure that the market identified could be effectively entered by Sprouting Readers, AdLab conducted further research into competitors that currently exist within the Pre K-12 markets. This research included examining other brand images, pricing structures, and social media presences. This was also the analysis that would provide the most beneficial comparison between the in-person and online markets, as well as the finances attached to both. While most of the interviews conducted showed what the target market would pay for tutoring services, competitive analysis showed how much that market is actually paying, potentially giving Sprouting Readers a competitive edge if priced against competitors' tutoring models.

Interview Findings

Our target demographic predominantly comprises 35-45-year-old parents of school-age children, reflecting the primary user base for our tutoring services. These individuals have expressed a willingness to invest an average of $50 per hour for their child's educational advancement, a price point that aligns well with local standards for middle and high school tutoring.

Tutoring Medium

While online tutoring has gained prominence, especially during the pandemic, there exists a post-COVID hesitancy among our target market towards online learning. Instead, there is a clear preference for in-person tutoring, with parents perceiving it as more effective in facilitating their child's learning journey.

Preferred Marketing Channels

Our interviews highlighted the significance of word-of-mouth marketing, stemming from teacher referrals and engagement at volunteer events. Additionally, traditional marketing materials such as flyers, pamphlets, and direct mail communications resonate well with our audience, providing tangible touchpoints for engagement.

Motivations and Barriers

Parents are motivated to enroll their children in tutoring programs when they feel a personal connection with the tutor and have assurance about their capabilities.

Organic marketing efforts that emphasize these personal connections prove to be more effective than paid online advertisements. However, price points and the challenge of addressing specific educational needs remain notable barriers to enrollment.

Target Market Findings

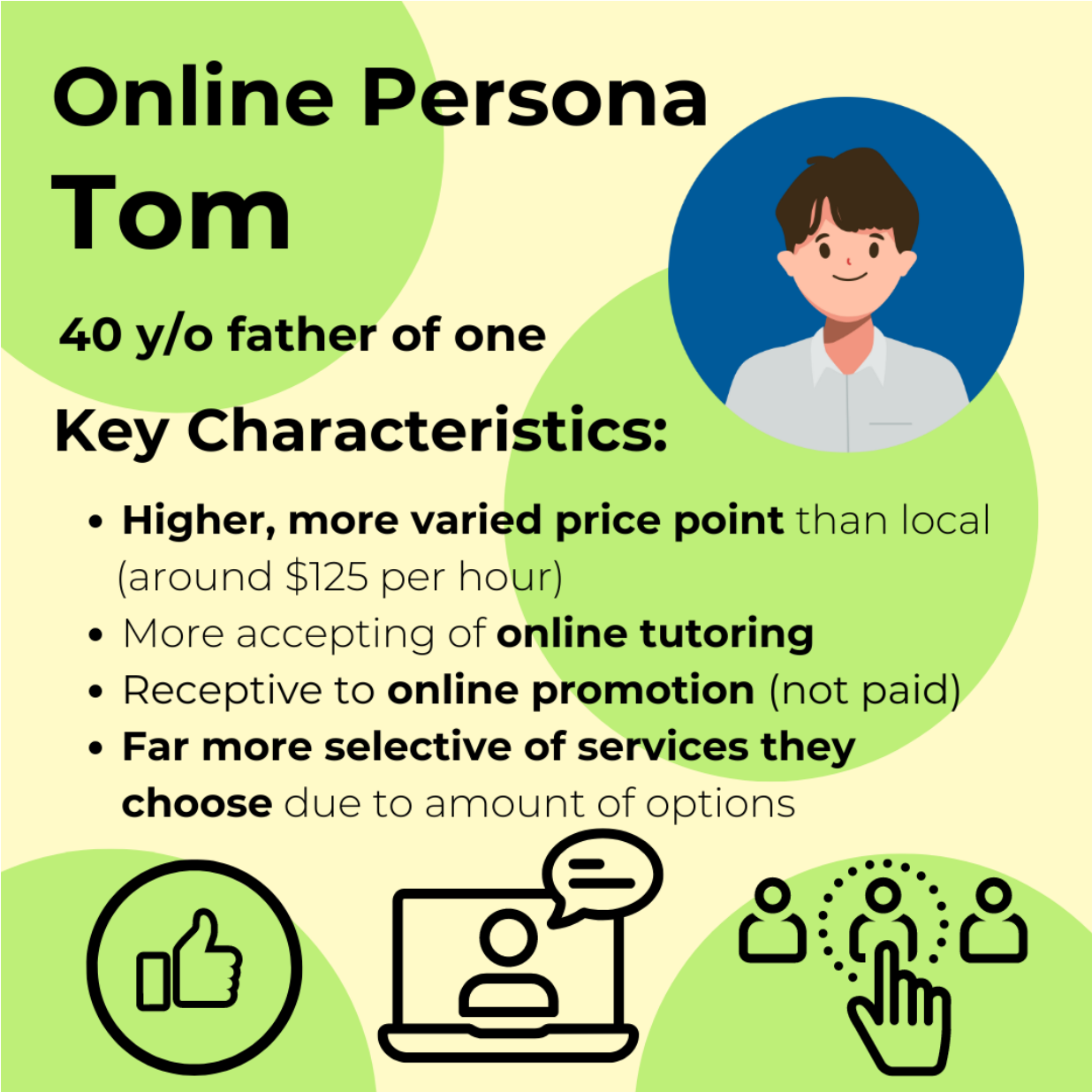
Local Persona

Lucy

40 y/o mother of two

Key Characteristics:

- Preference to **in-person tutoring**
  - Due to post-covid hesitancy
- More receptive to **word-of-mouth marketing** over digital
  - **Tangible** marketing materials
- Preferred price point of **$50 an hour**



Competitive Analysis Findings

Similar Branding Schemes

After conducting research it was found that many other tutoring services have similar imagery to Sprouting Readers. The use of flowers, plant growth, and trees is very popular in this genre of companies. This may pose as a positive or a negative for Sprouting Readers. A positive could be that this imagery is associated with other well-known companies, and a “growth” experience for children, however, it may

negatively impact Sprouting Readers as people may group it in with all the other tutor services being offered.

Specific Pricing Around Competitors

On average in Massachusetts, tutors tend to cost from $30 - $50 an hour based on findings from Care.org, a website designed to provide potential clients with average prices for tutoring sessions. However, tutors may charge as much as $250 (or more). The high end is mainly for writing tutors targeting high school students and helping them with their college essays, AP classes, and SAT prep. Pricing generally depends on the age group and if there are any specializations (ex: college essays). Prices will also vary depending on the local market.

In Person / Online

Furthermore, to establish a strong brand and competitive advantage we executed a competitive analysis as well as research for a pricing strategy. Through our findings we recommend setting prices within the local Amherst market at $50 an hour, a market rate based on the average within the interviews conducted, and a blanket price for online tutoring sessions. Online prices tend to generally be around $30 - $70 dollars an hour. Additionally, many tutors offer 20-30-minute sessions for younger children.

Recommendations

Communication Strategies

Based on our research, customers within the segments Sprouting Readers is trying to target are far more likely to connect with organic forms of marketing over paid promotion. When most of your business relies on establishing strong connections with students and their parents, you will find that the strongest connections can be

found when they are introduced to your service organically. We suggest advertising via local Facebook groups and eventually leading to a strong customer base that would lead to word-of-mouth referrals, referrals could even be incentivized by offering a shorter complimentary trial session. Additionally, we recommend that Taryn create a social media platform on Instagram or TikTok (or both) to post educational videos with a focus on providing educational tips for parents on teaching their children. These videos would have a more organic feel and would be good for capturing potential clients for online tutoring.

Sample Marketing Materials

Pricing Strategy

We suggest a flat rate for online tutoring sessions as a pricing strategy. As mentioned in prior correspondence, keeping this price point at between $100-$150

dollars per session to satisfy a higher-end market should be possible given you engage in product differentiation (read more about this in the Product Differentiation section). For in-person we recommend going by a rate determined by the local market. For example, our research highlighted that the local market rate for Amherst was $50 per hour. Sprouting Readers could also price differently depending on the age range, with ages in higher demand or with more expertise from a tutor being a more prestige product, allowing for higher rates.

Branding

To set Sprouting Readers apart from other tutoring services offered we recommend strongly to push Taryn's vast experience to the forefront of the brand. In addition to that Sprouting Reader's should advertise their unique tutoring methods to make it clear how they tutor differently from others. One example would be Taryn's use of the library facilities that offer online reading for kids to prepare for their tutoring sessions.

Further Participation in Local Events

Participating in local events such as volunteering at local libraries is a great way to organically advertise tutoring in an authentic way. These types of strategies would be targeted towards local and in-person tutoring sessions, additionally, they may have the feel of a free trial of sorts and are a great way to make personal connections with potential clients or to receive referrals. It also would give Sprouting Readers a good reputation for being a part of the community.

Product Differentiation

Throughout our research, one very important theme emerged about the tutoring

industry. This theme was tied directly to our marketing choices, and target market identification, and was very prominent through our competitive analysis. This theme was that of product differentiation, or separating your product/service from the competitive scene by establishing competitive advantages. In the case of the tutoring industry, differentiating your service will come mainly through emphasizing Sprouting Reader's variety of tutors and their experience. We recommend that the first thing your potential clients learn about your service is you, and how your skillset is the best choice for their child. By engaging in strong product differentiation, you can be far more flexible with your pricing models and break out of the preestablished average costs. Notice in our second marketing example how we utilized customer testimonials along with you as a method to tie customer attention to the positive review and your specific personality. We would recommend using these marketing materials on a digital front to make this the first contact with potential clients. We recommend using the first example at local events when a potential client has already met you and seen your skills. Expanding further than this report, as you bring more tutors onto your service, tailoring advertisements based on the tutor is another great way to differentiate your product.

Appendix

https://www.care.com/cost/private-tutors/boston-ma

Primary Survey Data Here